made large advances on pearls and cotton and hence was likely to lose to the tune of ₹50 lakhs. The management was quick to issue a denial in which it was stated that the bank had made no advances towards pearls and on the cotton front only ₹9 lakhs had been advanced and that too supported by sufficient securities and fully covered by a margin of over 30 percent. Within a week of this statement withdrawal from the bank stopped.

Sorabji knew he was dealing with an extremely volatile public and realized that salvation lay in prompt refutation. But the scandal-mongers were in no mood to relent. In December 1918, it was put about that the Central Bank was in difficulties because of the advances against piece-goods and cotton. That this rumour was rife at a time when the prices had slumped gave it some plausibility, but Sorabji nipped any potential damage in the bud by issuing a press communiqué in which he stated that the bank would not be affected by declining prices as all its advances had been made on adequate security.

Another attempt was made in the end of 1920, when the Central Bank's pernicious opposition started a rumour about embezzlement and fraud at the bank. Towards the end of 1920, some cases of defalcation in the Bank of Bombay had received wide publicity and unhappily these coincided with the dismissal of an officer of the Central Bank for indulging in illegal speculation. This was all grist for the rumour-mill: it was said that the Central Bank too had suffered losses due to fraud. To this was added the further canard that the bank had advanced large sums of money against sugar and was likely to face a big loss in the near future. Once again it fell to Sorabji's lot to explain the facts of the case and deny the baseless rumours.

Two years later, a well-known firm in Rangoon, Messrs Jamal Bros failed and rumour became busy that the Central Bank was facing problems as a result of having advanced loans to this firm. In another case, the failure of a bank in China was the spark for an absurd rumour that the Central Bank too had suffered as a result of the failure. The bank had no difficulty in showing these two pieces of fiction up for what they were: baseless and malicious lies. Sorabji's use of the press to clarify the bank's position and its policies was an early example of good public relations. He believed that a statement in print carried weight and involved a commitment that had great psychological impact.